

● UNIT 2 · TOPIC 2.12

Farelogix: Managing Fare Rules and Pricing Policies

Modern airline retailing — real-time offers beyond filed fares.

B.B.A. Aviation Management · Semester III · Unit 2: Fare Construction Principles
Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar

AIR TICKETING ACADEMY

ADMIT ONE LEARNER

No. 2.12

CLASS

TECH-BASED

PERIOD

PERIOD 12

DURATION

40 MIN

FARE

FREE**FARE
CHECKED**

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Now Showing: Topic Intro

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FARE CONSTRUCTION PRINCIPLES

Farelogix: Managing Fare Rules and Pricing Policies

Modern airline retailing — real-time offers beyond limited fares.

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CLASS SEM III

FARE FREE

FARE CHECKED

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02

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The Ticket Puzzle

**THINK ABOUT IT**

What if the airline created a price just for you, at the very moment you searched?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2-3 answers with the class



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Your Fare Itinerary

- 1** **2.12.1**
Overview of Farelogix; how airlines manage fare rules and ensure compliance
- 2** **2.12.2**
Real-time pricing and dynamic shopping; flexible vs restricted fares and customer behaviour
- 3** **2.12.3**
Farelogix in action; case studies of complex fare rules
- 4** **2.12.4**
Personalised fare options and the impact of pricing transparency

**BY THE END, YOU WILL**

- Describe Farelogix and its role
- Explain dynamic offer creation
- Analyse customer response to fare rules
- Evaluate personalisation and transparency

Pedagogy: Technology-Based Learning

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What Is Farelogix?

**The company**

US airline-technology firm founded in 1998; now part of Accelya (since 2022).

**NDC pioneer**

Early provider of NDC-based offer and order management for airlines.

**Airline retailing**

Helps airlines build and sell bundles, ancillaries and dynamic offers.

**KEY IDEA**

Traditional pricing uses fares filed in advance (ATPCO). Offer-management tools like Farelogix let the airline create the offer at the moment of shopping.



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Managing Rules & Compliance



Central Rules

Airline sets pricing policies once, applied across channels.



Consistency

Same offer rules on website, app, NDC agents.



Audit Trail

Changes logged for compliance and review.



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Real-Time Dynamic Shopping



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How Customers React to Fare Rules



Flexible Fares

- Chosen by business and uncertain travellers
- Higher price accepted for peace of mind
- Fewer complaints

VS

Restricted Fares

- Chosen by price-sensitive travellers
- More complaints when plans change
- Upsell opportunity: “add flexibility” for a fee



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Farelogix-Style Offer in Action

A dynamic NDC offer display (simplified).

- The airline returns complete offers, not just fares.
- Each offer bundles services and rules.
- Prices can be adjusted for channel or customer.
- Selecting an offer creates an order.



OFFER RESPONSE (illustrative)

```
OFFER 1  LITE      INR  6,450
  cabin bag only, no changes
OFFER 2  CLASSIC   INR  7,900
  15kg bag, seat, change fee
OFFER 3  FLEX      INR 10,300
  25kg bag, free changes,
  refundable, priority
```

```
// airline and prices invented
```

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Case Studies: Complex Fare Rules



Multi-Carrier Trips

Most restrictive rule of combined fares usually applies.



Group Offers

Dynamic group pricing replacing manual quotes.



Corporate Deals

Negotiated discounts applied automatically to NDC offers.



Bundles

Seat + meal + bag packages priced as one offer.

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Personalised Fare Options

**Tailored bundles**

Frequent business flyer sees flexible offer first.

**Relevant extras**

Family sees seats together; student sees extra baggage.

**Loyalty pricing**

Members get member-only offers.

**TRANSPARENCY**

Consumers now compare everything online. Clear total prices and simple rules build trust; hidden fees and confusing rules drive customers away and attract regulators.



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Old vs New Pricing Model

Filed

fares published in advance (ATPCO)

Dynamic

offers created at the moment of shopping

Orders

future: one customer order replaces PNR + ticket



Both models coexist today — agents must understand filed fares AND NDC offers.



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Ticket Office Workshop: Design an Airline Offer



PEDAGOGY

Technology-Based Learning

TIME · 12 min

FORMAT · Groups of 4

1

Pick a route and three customer types (student, family, executive).

2

Design one personalised offer for each: price, bundle, rules.

3

Explain how a system like Farelogix would decide which offer to show.

4

Class votes: most customer-friendly and most profitable offers.

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Click to reveal each answer

Fare Check Quiz

Q1**Farelogix is known for...**

- A) Airport security
- B) Airline offer and order management / NDC
- C) Aircraft maintenance
- D) Visa processing

ANSWER**B****Q2****Which company owns Farelogix today?**

- A) IATA
- B) Accelya
- C) Boeing
- D) DGCA

ANSWER**B****Q3****A “dynamic offer” is created...**

- A) Months in advance
- B) At the moment of shopping
- C) Only by agents
- D) After travel

ANSWER**B****Q4****Pricing transparency mainly helps...**

- A) Hide fees
- B) Build customer trust
- C) Reduce seats
- D) Stop NDC

ANSWER**B**

TICKET STAMPED

Key Takeaways

- ✓ Farelogix provides NDC-based offer and order management
- ✓ Dynamic shopping builds offers in real time
- ✓ Fare rules shape customer choice between flexible and restricted fares
- ✓ Personalisation and transparency are the future of airline pricing

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT TICKET

Unit 3 — Fare Construction Principles (Advanced)

Thank you · Questions?